Technology and Innovation Provide a Real Competitive Advantage

Fundamentally, every economic good or service is produced using some technology or process. There is no single or permanent technology or process for producing any particular good and service. Humans keep innovating and developing newer technologies for producing the same good or service at a lower cost, producing better-quality products servicing the same need, or producing new products and services that meet some unserved or underserved need.

Transportation by foot was the principal means of transporting goods and persons for centuries. It had its limitations. Harnessing animal power and later the invention of machine power made the production of animal-driven carts and subsequently automobiles possible. The bullock cart out-competed transportation by foot and led to expansion of transportation services in terms of availability of means of transportation and the distances that could be covered. The arrival of automobiles made transportation using animal power relatively inefficient and inadequate. There was no way animal-driven carts and rickshaws could have withstood the competition of automobiles for carrying passengers and freight. Likewise, there was no way hand-spinning could have competed with machine-made textiles. There was no way postal communications would have thrived in the age of instant email and digital communications.

Indian policies of small-scale reservations, public-sector reservations, protection of sick industry, protection of PSBs and other enterprises, subsidization of older technology-based businesses, shielding domestic enterprises from foreign competition and restrictions of technology imports effectively institutionalized inefficiencies and kept Indian industry stunted. On account of these policies, Indian industry did not build real competitiveness based on the use of the most efficient technologies and processes, and has generally lost out.